SENIORS AUDIT

Medicare Part B & D Late Enrollment Penalty Kit

Calculate your exact exposure — and if you already have a penalty, find out if it can be fought

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Already have a penalty notice? Skip straight to “Already Have a Penalty Notice? Start Here” — you may be on a real deadline right now.

What This Kit Helps You Do

This kit does two things most Medicare guides don't combine: it shows you exactly how Part B and Part D late enrollment penalties are calculated using this year's real numbers, AND — if you already have a penalty — it walks through the two genuinely different paths that can sometimes reduce or remove it: an appeal, or equitable relief. These are not the same thing, and most sources blur them together.

If you already received a penalty notice, you may be on a deadline right now. Skip ahead to “Already Have a Penalty Notice? Start Here” — then come back to the earlier pages once you've acted.

Who this is for

- You're trying to estimate what a penalty might cost before it happens
- You already have a Part B or Part D penalty and want to know if it's fightable
- You believe a penalty was calculated incorrectly

Who should also talk to a professional

- Your case involves Marketplace (ACA) coverage between 2014-2020
- You're already past a 60-day appeal deadline and unsure of remaining options
- Your situation involves a union, TRS, or government retiree plan

PART ONE — CALCULATE YOUR EXPOSURE

Part B Penalty — How It's Calculated

You'll pay an extra 10% for each full 12-month period you could have signed up for Part B, but didn't. This penalty is permanent — usually for as long as you have Part B.

Worked example

If you waited 2 full years (24 months) to sign up for Part B and didn't qualify for a Special Enrollment Period:

$202.90 (2026 Part B standard premium)

+ $40.58 (20% late enrollment penalty — 10% × 2 years)

= $243.48/month → rounds to $243.50/month for 2026

Build your own estimate:

Full years late	Penalty %	Extra monthly cost (2026)
1 year	10%	$20.29
2 years	20%	$40.58
3 years	30%	$60.87
4 years	40%	$81.16
5 years	50%	$101.45

My estimated years late: _____

My estimated extra monthly cost: _____

Source: Medicare.gov, medicare.gov/basics/costs/medicare-costs/avoid-penalties

PART ONE — CALCULATE YOUR EXPOSURE

Part D Penalty — How It's Calculated

You'll pay an extra 1% of the national base beneficiary premium for each month you went without Part D or other creditable drug coverage after your Initial Enrollment Period — that's about 12% per year. This applies if you go 63 days or more without qualifying coverage.

Worked example

If you waited 14 months without creditable drug coverage:

$38.99 (2026 national base beneficiary premium)

× 0.14 (14% penalty)

= $5.46 → rounds to $5.50/month added to your plan premium for 2026

This penalty is smaller in raw dollars than Part B's, but it's added on top of your specific plan's premium every year for life, and it recalculates upward each year as the national base beneficiary premium rises.

My estimated months without coverage:

_____

My estimated Part D penalty (months × 1% × $38.99):

_____

Source: Medicare.gov, medicare.gov/basics/costs/medicare-costs/avoid-penalties

PART ONE — CALCULATE YOUR EXPOSURE

Part A Penalty — Does This Apply to You?

Most people get Part A free because they (or a spouse) paid Medicare taxes for at least 10 years (40 quarters). If that's you, there's no Part A penalty to worry about at all. This page only matters if you have to pay a Part A premium.

Situation	2026 monthly premium	If late
40+ quarters worked	$0 (premium-free)	No penalty possible
30–39 quarters	$311/month	+10%, paid for double the years you delayed
Fewer than 30 quarters	$565/month	+10%, paid for double the years you delayed

Source: Medicare.gov

PART ONE — CALCULATE YOUR EXPOSURE

Before You Assume a Penalty Applies — Check These First

A significant number of penalties are applied incorrectly, or applied when the person actually qualified for an exception. Check every box that's true for you:

☐ I had active health coverage through my OWN or my spouse's CURRENT employer (not COBRA, not retiree coverage) at an employer with 20+ employees

☐ I enrolled within 8 months of that employer coverage ending

☐ I had creditable prescription drug coverage (as good as Part D) the whole time — check any old employer paperwork confirming this

☐ I may have received incorrect information from a Social Security or 1-800-MEDICARE representative that caused me to delay

☐ I had Marketplace (ACA) coverage between 2014 and June 2020 that I was told counted as creditable

COMMON MISTAKE: COBRA, retiree health coverage, VA benefits, and individual/Marketplace plans generally do NOT protect you from Part B penalties — even though people frequently assume they do. If any of your delay was based on one of these, your penalty may still be valid, but see “Path 2 — Equitable Relief” later in this kit for one narrow exception involving Marketplace coverage from 2014-2020.

If you checked any box above, continue to the appeal/relief pages next. If none apply, your penalty is very likely valid — the earlier pages remain useful for future planning and for helping others avoid the same situation.

PART TWO: IF YOU ALREADY HAVE A PENALTY

⚡ Already Have a Penalty Notice? Start Here

If you've received a letter about a Part B or Part D penalty, here's the fastest path to figuring out your options:

1. **Check the date on your notice.** Many appeal paths have a roughly 60-day window from the date of the letter — don't wait to gather every document before starting the process.
2. **Gather proof of any qualifying coverage right now:** pay stubs showing employer health deductions, an official letter from your former employer or HR confirming coverage dates, or old insurance cards.
3. **Determine which path fits your situation —** Path 1: Appeal (next page) if the penalty was calculated wrong or you had qualifying coverage; Path 2: Equitable Relief if a federal employee gave you bad information; Path 3: Part D Reconsideration if this is specifically a Part D penalty.
4. **File something even if your documentation feels incomplete.** A request started with partial evidence and then supplemented is better than a delayed request that misses a deadline.

This is the single most time-sensitive page in this entire kit. If you take one action today, make it locating your penalty notice and reading the deadline printed on it.

PART TWO — IF YOU ALREADY HAVE A PENALTY

Path 1 — Appeal (Penalty Calculated Incorrectly or You Had Coverage)

Use this path if you believe you actually had qualifying coverage (job-based insurance from a current employer with 20+ employees) during the time in question, or that the penalty amount was calculated wrong.

What to do:

- ☐ Follow the appeal instructions printed on your penalty notice letter
- ☐ If no form was included, use SSA's Request for Reconsideration Form (Form SSA-561)
- ☐ Attach proof: pay stubs, an employer/HR letter confirming coverage dates, or tax returns showing health insurance
- ☐ Submit within approximately 60 days of your notice date
- ☐ Keep copies of everything you submit

Being unaware that you needed to enroll is generally NOT a successful appeal reason on its own. Having actual qualifying coverage, or a calculation error, is what appeals are built to fix.

Source: Medicare Interactive, medicareinteractive.org — nonprofit Medicare education resource; SSA reconsideration process

PART TWO — IF YOU ALREADY HAVE A PENALTY

Path 2 — Equitable Relief (You Were Misinformed by a Federal Employee)

This is a narrower, different path than an appeal. It applies ONLY if you failed to enroll because of an error, misrepresentation, or inaction by a federal employee — such as someone at Social Security or 1-800-MEDICARE. It does NOT apply if you were misinformed by an employer, HR department, or insurance agent.

This distinction matters enormously and catches people off guard: bad advice from your employer's HR department, no matter how confidently given, does not qualify for equitable relief. Only federal employee misinformation does.

What to do:

☐ Write a letter to your local Social Security office explaining exactly what you were told, by whom, and when

☐ Include as much detail as possible: approximate date, method of contact (phone/in-person), and what was said

☐ Follow up with your local SSA office about one month after submitting

☐ Consider contacting a member of Congress's local office to ask them to follow up on your case

☐ Understand: there is no formal deadline for SSA to decide, and no formal appeal if you're denied — but pursuing it has no downside

One narrow historical exception: if you delayed Part B because you had Marketplace (ACA) coverage tied to an Initial or Special Enrollment Period between 2014 and June 2020, equitable relief may specifically apply to your situation. Unlike other appeals, there's no deadline to request this particular relief — mention it explicitly in your letter if it fits.

Source: Medicare Interactive, medicareinteractive.org

PART TWO — IF YOU ALREADY HAVE A PENALTY

Path 3 — Part D Penalty Reconsideration (A Different Process)

Part D penalties are handled differently from Part B — through your Part D plan itself, not Social Security. When a Part D plan determines you owe a penalty, they must send you an LEP Reconsideration Notice along with a Reconsideration Request Form.

☐ Locate the Part D LEP Reconsideration Request Form sent with your penalty notice — it's processed by C2C Innovative Solutions, the independent reviewer under contract with Medicare (often just called “the C2C form”)

☐ Review the specific circumstances listed on the form — you may only request review under those listed reasons

☐ Gather proof of any creditable drug coverage you had during the disputed period

☐ Submit the completed form to the address/contact listed on your notice

Source: CMS.gov, cms.gov/medicare/appeals-grievances/prescription-drug/late-enrollment-penalty-appeals

Your Situation Worksheet

Question	My answer
Which penalty do I have or expect? (Part A / B / D)	
Estimated penalty amount (from earlier pages)	
Do I have proof of qualifying coverage? (Y/N)	
Was I misinformed by a federal employee specifically? (Y/N)	
Which path applies? (Appeal / Equitable Relief / Part D Reconsideration / None apparent)	
Deadline date (if known)	

Common Mistakes & Pro Tips

1. **Assuming COBRA or retiree coverage protects you.** It doesn't, for either Part B avoidance or most appeal purposes.
2. **Waiting to gather “perfect” documentation before filing.** Deadlines don't pause for paperwork — file what you have, supplement after.
3. **Confusing “appeal” with “equitable relief.”** They have different standards, different evidence, and different processes — using the wrong one wastes your limited time window.
4. **Not looping in a member of Congress's office for equitable relief requests.** This is a legitimate, commonly used step that can add real pressure to a stalled request — it's not “jumping the line,” it's a normal part of the process.
5. **Giving up after one denial.** There's no formal appeal for equitable relief, but resubmitting with stronger documentation is not prohibited.

⚡ Pro tip

If your penalty involves a spouse's employer coverage rather than your own, gather the SAME documentation (employer letter, pay stubs) — spousal coverage counts exactly the same as your own for these purposes, but people often only think to document their own work history.

How to Read the Confidence Markers

🟢 **Straightforward —** Estimating a penalty you haven't received yet, with a typical work history.

🟡 **Review carefully —** You believe you qualify for an exception but aren't fully sure which one.

🔴 **Professional review recommended —** Marketplace coverage 2014-2020, union/TRS plans, or you're already past a stated deadline.

Sources & Update Information

- Avoid Late Enrollment Penalties — medicare.gov/basics/costs/medicare-costs/avoid-penalties
- Late Enrollment Penalty (LEP) Appeals — cms.gov/medicare/appeals-grievances/prescription-drug/late-enrollment-penalty-appeals
- Equitable Relief — medicareinteractive.org (nonprofit Medicare education resource)
- Appealing the Part B Late Enrollment Penalty — medicareinteractive.org
- Free Medicare Late Enrollment Penalty Calculator — seniorsaudit.com/tools/medicare-late-enrollment-penalty-calculator
- Free Medicare Part D Late Enrollment Penalty Calculator — seniorsaudit.com/tools/medicare-part-d-late-enrollment-penalty-calculator

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